Pre-Class Assignment: Athey & Scott Morton Essay

"Cheap Goods for Everyone?"

ECON 470 — Microeconomics of Artificial Intelligence

Spring 2026

Reading: Susan Athey and Fiona Scott Morton, "Cheap Goods for Everyone? The Impact of Market Power in Artificial Intelligence on Welfare and Inequality," *The Digitalist Papers*, Vol. 2 (2024). Available at digitalistpapers.com/vol2/atheyscottmorton.

Due: In person, Sunday May 4, at the start of class.

Instructions: Answer each question in 1–3 sentences. These are reading-check questions — they should be quick if you read the essay. You must submit this assignment in person. The assignment must be handwritten. No photocopies will be accepted.

Why we do this: A team of your classmates is presenting this essay and leading a 10-minute discussion afterward. These questions ensure you arrive ready to participate.

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1. Athey and Scott Morton argue that AI productivity gains may not reach consumers. What mechanism do they identify as the main obstacle?
2. The authors describe a "double whammy" facing displaced workers when firms have market power. What are the two components?
3. The essay identifies multiple layers of the AI value chain (chips, compute, data, models, applications, distribution) where bottlenecks could arise. Pick one layer and explain in one sentence why concentration there could harm consumers.
4. The authors propose investing in open-source foundation models as a policy tool. What competitive function would these serve?
5. Pick one claim or policy recommendation from the essay that you found either compelling or unconvincing. State it in one sentence, then say why you reacted the way you did.